

Supply Is Now Rationed, Even Between Friends

Over this cycle, the strategic constraint changed from what supply costs to whether governments release it at all. Nine weeks ago the central question was whether the machinery of fragmentation would last: the tariff wall had outlived its court defeat and the dollar had blinked. It lasted, and it turned inward. Washington used a trade law for the first time against Canada, Europe and Britain rationed steel by volume, China answered each Western listing with its own, US research funding began to follow trade blacklists, and diesel exporters, possibly soon including the United States, started metering supply. Allies answered by building ties with each other. What follows is the warnings this portfolio carried early, the assumptions that changed, and the decisions now ready to take.

Produced using [Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence](#).

STRATEGIC PICTURE AT A GLANCE

4

Weak signals
became measurable

5

Strategic
assumptions
changed

5

Actions now
decision-shaped

1

Strategic constraint
replaced

DRAWING ON

- Decision Intelligence, 1 October 2026 · 'Diesel, Allies and the New Order'
- Signal Scan, 30 September 2026 · 'Niger's Queue of Sovereign Consents'
- Signal Scan, 23 September 2026 · 'Refiners Meter Diesel Exports'
- Signal Scan, 16 September 2026 · 'Blacklists Decide Scientists' Partners'
- Signal Scan, 9 September 2026 · 'The Voluntary Top-Up'

● Change Tracker, 4 September 2026 · 'Washington turns its tariffs on Canada'

● Signal Scan, 2 September 2026 · 'China's Standing Reciprocity Machine'

● Signal Scan, 26 August 2026 · 'One Metal, Two Prices'

● Signal Scan, 19 August 2026 · 'Rationed, Not Taxed'

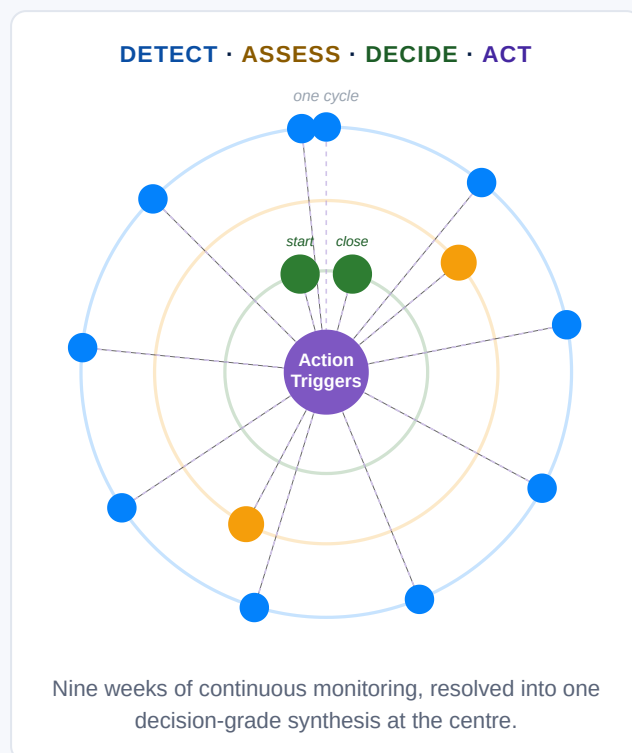
● Signal Scan, 12 August 2026 · 'Capital Without Concrete'

● Change Tracker, 7 August 2026 · 'Sanctions reach third countries'

● Signal Scan, 5 August 2026 · 'The Earn-Down Tariff'

● Decision Intelligence, 29 July 2026 · 'The Summer the Dollar Blinked'

● Signal Scan, 29 July 2026 · 'Taxed by Passport'



Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 1 WEEK AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

This winter's diesel will go to buyers with contracts, reserves or a government deal, not to the highest bidder.

INITIAL SIGNAL

We identified that the states that refine and export diesel had turned their exports into a metered flow, set by bans, stock-linked permits and levies reset every few weeks, and that the United States could be the next to join them.

NOW EVIDENT

- **Washington:** the President said on 22 September he may support a ban or cap on diesel exports, and the Energy Secretary has asked refiners to cut exports voluntarily.
- **Weekly exports:** US distillate exports fell 17.5% to 1.331 million barrels a day in the week to 18 September, the lowest since March.
- **Other exporters:** Russia's general fuel export ban runs to 31 January 2027, and India has set its diesel export levy twelve times since 27 March.

US ELECTIONS **3 November 2026** RUSSIAN BAN RUNS TO **31 January 2027**

DECIDE

Heads of fuel procurement in Europe and Latin America need a second source in place before the elections, not after.

LEAD TIME 3 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

DECISION INTELLIGENCE

US tariffs will keep sorting allies by what they legislate, and partners that refuse to align will route trade around Washington.

INITIAL SIGNAL

We flagged that the rebuilt US tariff wall sets rates by partner conduct, with lower tiers for partners that adopt US rules, and that it would reach Canada through a trade law no president had used before.

NOW EVIDENT

- **Canada:** Section 338 duties of 50% on about \$20 billion of Canadian goods took effect on 22 August. Canada suspended trade talks and put counter-tariffs on \$27.6 billion of US goods from 8 September.
- **Trust:** only 35% of Canadians now call the US a reliable partner, against 83% in 2022.
- **Routes around:** Canada joined the EU's defence buying programme, the EU and Australia concluded a trade deal, and Japan and South Korea agreed to share oil and fuel.

SECTION 338 DUTIES **50% from 22 August** CANADIAN COUNTER-TARIFFS **from 8 September**

PREPARE

Commercial and strategy teams should treat a second route to market that does not depend on Washington as a planning requirement.

LEAD TIME 5 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

Rare earths from outside China will carry their own, higher price for years, whatever happens to Beijing's controls.

INITIAL SIGNAL

We flagged that Western governments were turning the price gap opened by Chinese export controls into long-term contracts, so that the same mineral would trade at one price inside China and another outside it.

NOW EVIDENT

- **Contracts:** a US-government-backed vehicle agreed a 15-year offtake with guaranteed floor prices for Serra Verde's first-phase output, backed by a \$750 million Department of War investment.
- **Clubs:** the G7 formed a critical-minerals alliance and aims to cut reliance on any single outside supplier of rare earths and magnets to under 60% by 2030.
- **China:** the pause on China's wider rare-earth controls has been extended to 10 January 2027, but the floors already signed do not lapse if prices converge.

FLOOR-PRICE OFFTAKE **15 years** G7 TARGET **under 60% by 2030**

PREPARE

Procurement and treasury teams should check which market their rare-earth contracts mean when they say the market price.

LEAD TIME 6 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

DECISION INTELLIGENCE

The EU's 22nd sanctions package is likely to draw a matched Chinese list within days, and named European suppliers will carry it.

INITIAL SIGNAL

We flagged that China had begun answering each Western listing of Chinese firms with a matched list of Western ones, published within a day and aimed at defence and dual-use supply chains.

NOW EVIDENT

- **The pattern:** China listed 10 US entities on 22 June and 14 EU entities on 24 July, the day after the EU's 21st package named Chinese and Hong Kong firms.
- **The next trigger:** the 22nd package, a record 827 entities and 744 individuals, is due for adoption on 12 October.
- **Wider reach:** the US Senate cleared tariffs of up to 100% on major buyers of Russian energy, pulling third countries further into sanctions policy.

22ND PACKAGE VOTE **12 October 2026** LAST CHINESE RESPONSE **within one day**

PREPARE

Compliance and defence-supply teams should screen exposure to Chinese-origin inputs before each EU package is adopted, not after.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 5

REPLACED

Coercion is aimed at rivals, and allies stay in one bloc

PRIOR CYCLE HELD

The prior cycle held that "coercion has become plumbing", aimed at Russia through sanctions and running both ways between Washington and Beijing through mineral controls, with the US and its partners on the same side.

THIS CYCLE READS

Coercion fell inside the bloc. Washington used a trade law for the first time to put 50% duties on Canadian goods, and its closest partners answered by building trade, defence and energy ties with each other.

FORWARD THESIS

Partners will keep their US ties but build alternatives beside them. The tripwire is **whether Canada and the US resume talks, and whether the EU-Australia agreement is signed in late 2026 or early 2027.**

SHIFT 2 OF 5

REPLACED

A supply shock can be met by qualifying another supplier

PRIOR CYCLE HELD

The prior cycle asked planners to "model a shock in which both a Chinese export control and a US content rule bite the same bill of materials", and to answer it with qualified alternative suppliers and stock.

THIS CYCLE READS

Governments now allocate supply directly, so a second supplier can be switched off as well. Diesel exporters meter what they release, and Western governments are contracting a separate, higher price for minerals from outside China.

- **Diesel:** Russia, China, India, Thailand and Kazakhstan restrict exports, and Washington is weighing a ban or cap.
- **Minerals:** floor-price offtakes and G7 work on price floors put a policy price on supply from outside China.

FORWARD THESIS

Plan supply around which governments will release it, not only who can make it. The tripwire is **a formal US export ban or cap, or China cutting its fourth-quarter export permissions.**

Conditional market access can be bought with pledges or lower tariffs

PRIOR CYCLE HELD

The prior cycle found that "access became managed, negotiated and conditional", bought with purchase and investment pledges and with policy changes that earn a lower tariff tier.

THIS CYCLE READS

The reading splits. Tariffs still work by price, with lower rates for partners that adopt US rules. Elsewhere access is now rationed by volume or granted by list, and no payment buys it.

- **Steel:** the EU cut tariff-free steel quotas by 47% and the UK by 51% on 1 July.
- **Research:** from FY2027, US National Science Foundation funds cannot support collaboration with anyone on twelve restricted-party lists.
- **Carbon:** Britain's list of 16 recognised carbon-pricing schemes binds from 1 January 2027, while the EU tests each consignment.

FORWARD THESIS

Allocation rules spread when they are copied. Watch for **a fourth jurisdiction adopting the steel quota design, or an allied research funder naming the US lists.**

The dollar's dip shows fragmentation reaching the monetary system

PRIOR CYCLE HELD

The prior cycle read the dip in the dollar's reserve share, and gold passing Treasuries at market value, as "the summer's clearest sign that fragmentation has reached the monetary core".

THIS CYCLE READS

The dip has not become a trend. The dollar's share recovered to 57.13% in the first quarter, central-bank gold buying slowed to a steady pace, and BRICS payment links stayed at the discussion stage.

FORWARD THESIS

Hold the reading unless the data turns. The tripwire is **the IMF's second-quarter reserve figures, due around 1 October, showing the share back below 57%.**

The 2026 controls will outlast court rulings and trade truces

PRIOR CYCLE HELD

The prior cycle named its pattern as "the machinery holds": tariffs, sanctions and export controls hardened into standing arrangements that a ruling or a truce would not unwind.

THIS CYCLE READS

It survived a direct test this cycle. The US Court of International Trade left the metals tariffs standing, the EU's next sanctions package is the largest yet, and China extended its pause on rare-earth controls rather than repealing them.

FORWARD THESIS

The next tests are dated. Watch **the 12 October sanctions vote and the 10 January 2027 end of the US-China truce.**

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE

ACTION 1

SIGNAL SCAN

DECISION INTELLIGENCE

Put a 90-day non-US diesel supply plan in place before the 3 November elections.

TRIGGER CONDITION

This recommendation has been activated because the President has said he may support a ban or cap on diesel exports, because weekly US exports have already fallen to their lowest since March, and because the other large exporters are metering their own supply, so there is no open market to fall back on.

PRIMARY DECISION
OWNER

Heads of fuel procurement and logistics, Europe and Latin America

DECISION WINDOW

IMMEDIATE

by 31 October 2026

WHY THIS NOW MATTERS

A ban would land in the middle of winter demand. Buyers who secured term supply beforehand will be served first, and the rest will bid for what exporting governments release.

RECOMMENDED ACTIONS

- **Immediate:** sign term supply with refiners outside the US and confirm how many days of stock each operation holds.
- **Immediate:** decide which operations get fuel first if US cargoes stop.
- **Follow-on:** write the exporting government's policy into supply contracts as a named risk, rather than meeting it later as force majeure.

REVIEW CONDITIONS

This recommendation should be reviewed if Washington imposes a formal ban or cap, which would move it to emergency allocation, if exports recover and a ban is ruled out after the elections, or if the Strait of Hormuz reopens and exporters lift their curbs.

Extend the July control map to cover quotas, lists and recognition decisions, including those made by allies.

TRIGGER CONDITION

This recommendation has been activated because Europe and Britain now ration steel by volume, because China answers Western listings with its own within a day, because US research funding follows trade blacklists from FY2027, and because the map built in July covered controls between rivals, not allocation decisions by friends.

PRIMARY DECISION OWNER **Chief Risk Officer and General Counsel**

DECISION WINDOW **NEXT QUARTER** by 31 March 2027

WHY THIS NOW MATTERS

An allocation cannot be bought down like a tariff. Exposure is managed through eligibility, paperwork and timing, and few plans yet give that work an owner.

RECOMMENDED ACTIONS

- **Immediate:** screen suppliers, customers and research partners against the US restricted-party lists and China's export control list before the EU vote on 12 October.
- **Next quarter:** confirm steel quota allocations and melt-and-pour evidence for EU and UK shipments.
- **Next quarter:** check whether the carbon schemes behind your exports are on Britain's recognised list before it binds on 1 January 2027.
- **Follow-on:** name one owner for each allocation decision and re-run the map after every sanctions package.

REVIEW CONDITIONS

This recommendation should be reviewed if the 22nd package passes without a Chinese response, which would narrow its scope, if a fourth jurisdiction copies the steel quota design or an allied funder adopts the US lists, which would raise it to Decide, or if a trade panel rules the steel quotas unlawful.

Build a second route to market and supply through partnerships that run through neither Washington nor Beijing.

TRIGGER CONDITION

This recommendation has been activated because US duties now fall on allies, because Canada, the EU, Australia, Japan and South Korea are signing deals with each other, and because Western floor-price contracts are creating a separate supply of minerals from outside China.

PRIMARY DECISION OWNER **Chief Strategy Officer and Commercial Director**

DECISION WINDOW **NEXT PLANNING CYCLE** by 30 June 2027

WHY THIS NOW MATTERS

Partnerships now decide which markets stay open and which inputs stay available. Early entrants take the allocations and the offtakes.

RECOMMENDED ACTIONS

- **Immediate:** name one market per region that could be served through the EU-Australia deal, the EU-Korea digital agreement or the Pacific trade pact.
- **Next quarter:** re-paper rare-earth and magnet contracts that reference a single market price, and price the premium for supply from outside China.
- **Follow-on:** plan capacity around partners' ratification dates, with the EU-Australia agreement expected in force around the end of 2027.

REVIEW CONDITIONS

This recommendation should be reviewed if US-Canada talks resume and the 50% duties are lifted, if the EU-Australia agreement stalls in ratification, or if European elections in 2027 bring governments that pull back from the new partnerships.

MONITOR

ACTION 4

SIGNAL SCAN

Track the consents a host government must give, not only the risk of seizure, in resource and political-risk exposures.

TRIGGER CONDITION

This recommendation has been activated because a US state lender approved \$414.2 million for a uranium mine in Niger that cannot be drawn until the government extends the permit, signs a direct agreement and approves repayments, and an export route opens.

PRIMARY DECISION OWNER Head of project finance and political-risk underwriting

**DECISION
WINDOW**

MONITOR ONLY permit and export-route decisions over the next 12 months

WHY THIS NOW MATTERS

Where the host government holds most of the conditions, the risk is delay at each step. That is priced differently from a single seizure, and most country-risk models price only the seizure.

RECOMMENDED ACTIONS

- **Immediate:** list every government act a Sahel or similar exposure depends on, by date and counterparty.
- **Follow-on:** model delay as well as loss when pricing political risk on these exposures.

REVIEW CONDITIONS

Reinstate this as Prepare if another state lender announces staged, consent-linked cover for a Sahel mine by mid-2027. Stand it down if the Benin-Niger border reopens with no limit on strategic products and the Niger loan is drawn on schedule.

Hold the reserve and settlement baseline set in July rather than diversifying further, and test it against the second-quarter data.

TRIGGER CONDITION

This recommendation has been activated because the dollar's reserve share recovered to 57.13% in the first quarter, because central-bank gold buying slowed, and because BRICS payment links have not moved beyond discussion, which weakens the case the July cycle made for diversifying.

PRIMARY DECISION OWNER **CFO and CIO**

DECISION WINDOW **MONITOR ONLY** **IMF second-quarter figures, due around 1 October 2026**

WHY THIS NOW MATTERS

Diversifying against a dip that has not become a trend costs money now for a risk the data no longer shows. The July baseline already carries a non-dollar fallback for critical flows.

RECOMMENDED ACTIONS

- **Immediate:** compare the baseline against the IMF's second-quarter figures when they are published.
- **Follow-on:** keep the non-dollar settlement fallback set in July, without adding to it.

REVIEW CONDITIONS

Reinstate this as Prepare if the dollar's reserve share falls back below 57% in the second-quarter data, or if BRICS payment links go live. Stand it down if the share holds above 57% for four consecutive quarters.

The body of work, in one sentence

Over this cycle, the binding constraint moved from what supply costs to whether governments release it. The July question was whether the machinery would last; it did, and it turned on allies and on essentials, with tariffs tiered by partner conduct, steel rationed by volume, research funding sorted by trade blacklist and diesel metered by exporting governments. The load-bearing variable for the next cycle is permission: which list, which quota, which club and whose consent a cargo, a partner or a loan now needs. The first dates that test it are already set: 12 October, 3 November and 10 January.

The Decision-Grade Intelligence Method

Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence.

[Scan](#) · [Filter](#) · [Stress-test](#) · [Judge](#) · [Trigger](#) · [Actionable Intelligence](#)

See full methodology →

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Geopolitics & Economic Fragmentation**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

Discuss a Tailored Programme